Registration number: 01767386

Howden Joinery Corporate Services Limited

Annual Report and Financial Statements

for the Period from 31 December 2023 to 28 December 2024

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Howden Joinery Corporate Services Limited

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Howden Joinery Corporate Services Limited

Strategic Report for the Period from 31 December 2023 to 28 December 2024

The directors present their strategic report for the period from 31 December 2023 to 28 December 2024.

The Company's principal activity is described in the Directors' Report, which is located immediately below this Strategic Report. The Company's financial Key Performance Indicators are as shown in the Profit and Loss Account and Balance Sheet. We do not consider there to be any non-financial Key Performance Indicators relevant to the Company, other than those listed in the Group annual report, as detailed in the paragraph immediately below.

The Group manages its operations on a Group basis and therefore prepares a consolidated group annual report and accounts, including a consolidated strategic report. Pursuant to Section 414(A) (4) of the Companies Act 2006 (Strategic Report and Directors' Report) Regulations 2013, which provides that a group strategic report may give greater emphasis to the matters that are significant to the undertakings included in the consolidation when taken as a whole, the following information in relation to the Company can be found in the Group annual report on the pages listed:

- Fair review of the business (pgs 2 - 35)
- Description of the principal risks and uncertainties facing the Group and its subsidiary undertakings (pgs 36 - 41)
- Financial and non-financial KPIs (pgs 28 - 29)
- Future developments (pgs 18, 24, 34)
- Information about environmental matters, social, community and human rights issues (pgs 42-68)
- Description of culture, purpose, market, business model and strategy (pgs 8-15)
- Information in relation to Group employees, including gender statistics, employee involvement and Group policy on the employment of disabled persons (pgs 88 - 90, 103 - 107, 154 - 155)

This report is available as part of the Group's Annual Report which is available at http://www.howdenjoinerygroupplc.com/ and which does not form part of this report.

Howden Joinery Corporate Services Limited

Strategic Report for the Period from 31 December 2023 to 28 December 2024

Section 172 statement

Section 172 of the Companies Act 2006 requires a director of a company to act in the way he or she considers, in good faith, would most likely promote the success of the company for the benefit of its members as a whole. In doing this section 172 requires a director to have regard, amongst other matters, to the:

- likely consequences of any decisions in the long-term;
- interests of the company's employees;
- need to foster the company's business relationships with suppliers, customers and others;
- impact of the company's operations on the community and environment;
- desirability of the company maintaining a reputation for high standards of business conduct, and
- need to act fairly as between members of the company.

In discharging their section 172 duties the directors of the Company have regard to the factors set out above. They also have regard to other factors which they consider relevant to the decision being made. The directors acknowledge that every decision they make will not necessarily result in a positive outcome for all of the Company's stakeholders. By considering the Company's purpose, vision and values together with its strategic priorities and having a process in place for decision-making, the directors do, however, aim to make sure that their decisions are consistent and predictable.

As is normal for large companies, the directors delegate authority for day-to-day management of the Company to executives engaged in setting, approving and overseeing execution of the business strategy and related policies of the Group. How the Group's key stakeholders have been identified and interests taken into consideration, in accordance with the directors' section 172 duties of the Companies Act 2006 and the 2018 UK Corporate Governance Code, is noted in detail in Howden Joinery Group Plc's Annual Report and Accounts for the year ended 28 December 2024 (www.howdenjoinerygroupplc.com/investors/financial-reports/annual-reports). As the Company forms part of the Group, the framework adopted by the ultimate parent has been disseminated and applied by the subsidiary Company.

Approved by the board on 21 August 2025 and signed on its behalf by:

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Chantal Cable
Director

Howden Joinery Corporate Services Limited

Directors' Report for the Period from 31 December 2023 to 28 December 2024

The directors present their annual report and the audited financial statements for the period from 31 December 2023 to 28 December 2024.

Directors' of the Company
The directors, who held office during the period, were as follows:
Theresa Keating (ceased 28 March 2025)
Paul Hayes (ceased 1 June 2025)
The following directors were appointed after the period end:
Chantal Cable (appointed 28 March 2025)
Jackie Callaway (appointed 2 June 2025)

Financial instruments

Objectives and policies, price risk, credit risk, liquidity risk and cash flow risk

These are managed on a Group basis. Further information can be found on pages 34-35 of the Howden Joinery Group Plc Annual Report and Accounts, which is available at
https://www.howdenjoinerygroupplc.com/investors/financial-reports/annual-reports

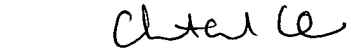
Going concern
After making enquiries and taking into consideration the profitability and financial position of the Company, the directors have formed a judgement, at the time of approving the financial statements, that there is a reasonable expectation that the Company has adequate resources to continue in operational existence for a period of at least 12 months after the date of approval of these financial statements.

This Company has negative net assets, and the judgement around being a going concern is based on a written commitment of financial support from its ultimate parent company, Howden Joinery Group Plc. In assessing the quality of the commitment of support from its ultimate parent company, the directors noted the parent company's assessment of the Howden Joinery Group's going concern in its 2024 Annual Report and Accounts, dated 26 February 2025, which includes a description of how the parent company has concluded that it was appropriate for the consolidated Group results to be prepared on a going concern basis.

Disclosure of information to the auditors
Each Director has taken steps that they ought to have taken as a Director in order to make themselves aware of any relevant audit information and to establish that the Company's auditor is aware of that information. The Directors confirm that there is no relevant information that they know of and of which they know the auditor is unaware.

Principal activity
The principal activity of the company is providing and managing employees, professional fees for other Group companies. There has been no change in the Company's principal activities during the period.

Approved by the board on 21 August 2025 and signed on its behalf by:



.....
Chantal Cable
Director

Howden Joinery Corporate Services Limited

Statement of Directors' Responsibilities

The directors are responsible for preparing the Annual Report and the financial statements in accordance with applicable law and regulations.
Company law requires the directors to prepare financial statements for each financial year. Under that law the directors have elected to prepare the financial statements in accordance with United Kingdom Generally Accepted Accounting Practice (United Kingdom Accounting Standards and applicable law), including FRS 101 'Reduced Disclosure Framework'. Under company law the directors must not approve the financial statements unless they are satisfied that they give a true and fair view of the state of affairs of the company and of the profit or loss of the company for that period. In preparing these financial statements, the directors are required to:

- select suitable accounting policies and apply them consistently;
- make judgements and accounting estimates that are reasonable and prudent;
- state whether applicable UK Accounting Standards have been followed, subject to any material departures disclosed and explained in the financial statements; and
- assess the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern; and

- use the going concern basis of accounting unless they either intend to liquidate the Company or to cease operations, or have no realistic alternative but to do so.

The directors are responsible for keeping adequate accounting records that are sufficient to show and explain the company's transactions and disclose with reasonable accuracy at any time the financial position of the company and enable them to ensure that the financial statements comply with the Companies Act 2006. They are responsible for such internal control as they determine is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error, and have general responsibility for taking such steps as are reasonably open to them to safeguard the assets of the Company and to prevent and detect fraud and other irregularities.

Howden Joinery Corporate Services Limited

Independent Auditor's Report to the Members of Howden Joinery Corporate Services Limited

Opinion

We have audited the financial statements of Howden Joinery Corporate Services Limited (the 'Company') for the period ended 28 December 2024, which comprise the Income Statement,Statement of Comprehensive Income, Statement of Financial Position, Statement of Changes in Equity, and related notes, including the accounting policies in note 2.

In our opinion the financial statements:

- give a true and fair view of the state of the Company's affairs as at 28 December 2024 and of its loss for the period then ended;
- have been properly prepared in accordance with UK Accounting Standards, including Financial Reporting Standard 101 "Reduced Disclosure Framework"; and
- have been prepared in accordance with the requirements of the Companies Act 2006.

Basis for opinion

We conducted our audit in accordance with International Standards on Auditing (UK) (ISAs (UK)) and applicable law. Our responsibilities are described below. We have fulfilled our ethical responsibilities under, and are independent of the Company in accordance with UK ethical requirements including the FRC Ethical Standard. We believe that the audit evidence we have obtained is a sufficient and appropriate basis for our opinion.

Going concern

The directors have prepared the financial statements on the going concern basis as they do not intend to liquidate the Company or to cease its operations, and as they have concluded that the Company's financial position means that this is realistic. They have also concluded that there are no material uncertainties that could have cast significant doubt over its ability to continue as a going concern for at least a year from the date of approval of the financial statements ("the going concern period").

In our evaluation of the directors' conclusions, we considered the inherent risks to the Company's business model and analysed how those risks might affect the Company's financial resources or ability to continue operations over the going concern period.

Our conclusions based on this work:

· we consider that the directors' use of the going concern basis of accounting in the preparation of the financial statements is appropriate;

· we have not identified, and concur with the directors' assessment that there is not, a material uncertainty related to events or conditions that, individually or collectively, may cast significant doubt on the Company's ability to continue as a going concern for the going concern period.

However, as we cannot predict all future events or conditions and as subsequent events may result in outcomes that are inconsistent with judgements that were reasonable at the time they were made, the above conclusions are not a guarantee that the Company will continue in operation.

Fraud and breaches of laws and regulations – ability to detect

Identifying and responding to risks of material misstatement due to fraud

To identify risks of material misstatement due to fraud ("fraud risks") we assessed events or conditions that could indicate an incentive or pressure to commit fraud or provide an opportunity to commit fraud.

Our risk assessment procedures included enquiring of directors and inspection of policy documentation as to Howden Joinery Group Plc's policies and procedures to prevent and detect fraud that apply to this group company as well as enquiring whether the directors have knowledge of any actual, suspected or alleged fraud.

We communicated identified fraud risks throughout the audit team and remained alert to any indications of fraud throughout the audit.

As required by auditing standards, we perform procedures to address the risk of management override of controls, in particular the risk that management may be in a position to make inappropriate accounting entries. On this audit we do not believe there is a fraud risk related to revenue recognition because there are no external revenue transactions.

We did not identify any additional fraud risks.

We also performed procedures including:

• Identifying journal entries and other adjustments to test based on risk criteria and comparing the identified entries to supporting documentation. These included those posted by users outside of their expected business area and those posted to unusual accounts.

• Assessing whether the judgements made in making accounting estimates are indicative of a potential bias.

Identifying and responding to risks of material misstatement related to compliance with laws and regulations

We identified areas of laws and regulations that could reasonably be expected to have a material effect on the financial statements from our general commercial and sector experience, and through discussion with the directors (as required by auditing standards), and discussed with the directors the policies and procedures regarding compliance with laws and regulations.

The Company is subject to laws and regulations that directly affect the financial statements including financial reporting legislation (including related companies legislation), distributable profits legislation, and taxation legislation and we assessed the extent of compliance with these laws and regulations as part of our procedures on the related financial statement items.

Whilst the Company is subject to many other laws and regulations, we did not identify any others where the consequences of non-compliance alone could have a material effect on amounts or disclosures in the financial statements

Independent Auditor's Report to the Members of Howden Joinery Corporate Services Limited

Context of the ability of the audit to detect fraud or breaches of law or regulation.

Owing to the inherent limitations of an audit, there is an unavoidable risk that we may not have detected some material misstatements in the financial statements, even though we have properly planned and performed our audit in accordance with auditing standards. For example, the further removed non-compliance with laws and regulations is from the events and transactions reflected in the financial statements, the less likely the inherently limited procedures required by auditing standards would identify it.

In addition, as with any audit, there remained a higher risk of non-detection of fraud, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal controls. Our audit procedures are designed to detect material misstatement. We are not responsible for preventing non-compliance or fraud and cannot be expected to detect non-compliance with all laws and regulations.

Strategic report and directors' report

The directors are responsible for the strategic report and the directors' report. Our opinion on the financial statements does not cover those reports and we do not express an audit opinion thereon.

Our responsibility is to read the strategic report and the directors' report and, in doing so, consider whether, based on our financial statements audit work, the information therein is materially misstated or inconsistent with the financial statements or our audit knowledge. Based solely on that work:

• we have not identified material misstatements in the strategic report and the directors' report;

• in our opinion the information given in those reports for the financial year is consistent with the financial statements; and

• in our opinion those reports have been prepared in accordance with the Companies Act 2006.

Matters on which we are required to report by exception

Under the Companies Act 2006 we are required to report to you if, in our opinion:

- adequate accounting records have not been kept, or returns adequate for our audit have not been received from branches not visited by us; or
- the financial statements are not in agreement with the accounting records and returns; or
- certain disclosures of directors' remuneration specified by law are not made; or
- we have not received all the information and explanations we require for our audit.

We have nothing to report in these respects.

Independent Auditor's Report to the Members of Howden Joinery Corporate Services Limited

Directors' responsibilities
As explained more fully in the Statement of Directors' Responsibilities, the directors are responsible for the preparation of the financial statements and for being satisfied that they give a true and fair view; such internal control as they determine is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error; assessing the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern; and using the going concern basis of accounting unless they either intend to liquidate the Company or to cease operations, or have no realistic alternative but to do so.

Auditor's responsibilities
Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue our opinion in an auditor's report. Reasonable assurance is a high level of assurance, but does not guarantee that an audit conducted in accordance with ISAs (UK) will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of the financial statements.
A fuller description of our responsibilities is provided on the Financial Reporting Council's website at: www.frc.org.uk/auditorsresponsibilities.

The purpose of our audit work and to whom we owe our responsibilities
This report is made solely to the Company's members, as a body, in accordance with Chapter 3 of Part 16 of the Companies Act 2006. Our audit work has been undertaken so that we might state to the Company's members those matters we are required to state to them in an auditor's report and for no other purpose. To the fullest extent permitted by law, we do not accept or assume responsibility to anyone other than the Company and the Company's members, as a body, for our audit work, for this report, or for the opinions we have formed.

.....
Zulfikar Walji (Senior Statutory Auditor)
For and on behalf of KPMG LLP, Statutory Auditor
Chartered Accountants
15 Canada Square
London
E14 5GL
United Kingdom
21 August 2025

Howden Joinery Corporate Services Limited

Income Statement for the Period from 31 December 2023 to 28 December 2024

	Note	52 weeks to 28 December 2024 £ 000	53 weeks to 30 December 2023 £ 000
Turnover	4	20,348	26,403
Administrative expenses		(21,398)	(23,756)
Operating (loss)/profit	5	(1,050)	2,647
Interest payable and similar expenses	6	(300)	(1,302)
		(300)	(1,302)
(Loss)/profit before tax		(1,350)	1,345
Tax on (loss)/profit	10	(356)	(5,466)
Loss for the period		(1,706)	(4,121)

The above results were derived from continuing operations.

The notes on pages 13 to 31 form an integral part of these financial statements.

Howden Joinery Corporate Services Limited

Statement of Comprehensive Income for the Period from 31 December 2023 to 28 December 2024

	Note	52 weeks to 28 December 2024 £ 000	53 weeks to 30 December 2023 £ 000 (restated)
Loss for the period		(1,706)	(4,121)
Items that will not be reclassified subsequently to profit or loss			
Actuarial gain or loss on defined benefit pension schemes	15	12,700	13,300
Income tax effect	15	(3,175)	(3,325)
		9,525	9,975
Total comprehensive income for the period		7,819	5,854

In the prior year, the company presented items of other comprehensive income net of related tax affects. In the current year, the directors have concluded that separate presentation of income tax for items of other comprehensive income is more appropriate, and the comparatives have therefore been restated accordingly.

The notes on pages 13 to 31 form an integral part of these financial statements.

Howden Joinery Corporate Services Limited

(Registration number: 01767386)
Statement of Financial Position as at 28 December 2024

	Note	28 December 2024 £ 000	30 December 2023 (restated, see note 17) £ 000
Current assets			
Debtors	11	2,852	4,651
Deferred tax asset	10	2,958	4,094
		5,810	8,745
Creditors: Amounts falling due within one year			
Trade and other payables	13	(295,092)	(298,403)
Total assets less current liabilities		(289,282)	(289,658)
Creditors: Amounts falling due after more than one year			
Provisions			
Defined benefit pension liability	15	(2,092)	(12,592)
Net liabilities		(291,374)	(302,250)
Capital and reserves			
Called up share capital	14	12,358	12,358
Capital contribution reserve	14	280,315	280,315
Share-based payments reserve	14	44,197	41,456
Retained earnings	14	(628,244)	(636,379)
Shareholders' deficit		(291,374)	(302,250)

Approved by the board on 21 August 2025 and signed on its behalf by:

.....
Chantal Cable
Director

The notes on pages 13 to 31 form an integral part of these financial statements.

Howden Joinery Corporate Services Limited

Statement of Changes in Equity for the Period from 31 December 2023 to 28 December 2024

	Share capital £ 000	Capital contribution reserve £ 000	Share-based payments reserve £ 000	Retained earnings £ 000	Total £ 000
At 31 December 2023 (restated)	12,358	280,315	41,456	(636,379)	(302,250)
Total comprehensive income	-	-	-	7,819	7,819
Current tax on share schemes	-	-	-	238	238
Deferred tax on share schemes	-	-	-	78	78
Share based payment transactions	-	-	2,741	-	2,741
At 28 December 2024	12,358	280,315	44,197	(628,244)	(291,374)

	Share capital £ 000	Capital contribution reserve £ 000	Share-based payments reserve £ 000	Retained earnings £ 000	Total £ 000
At 25 December 2022, as previously reported - see note 17	12,358	280,315	39,467	(626,226)	(294,086)
Effect of restatement - see note 17	-	-	-	(16,154)	(16,154)
Restated balances at 25 December 2022	12,358	280,315	39,467	(642,380)	(310,240)
Loss for the period	-	-	-	(4,121)	(4,121)
Other comprehensive income	-	-	-	9,975	9,975
Total comprehensive income	-	-	-	5,854	5,854
Current tax on share schemes	-	-	-	104	104
Deferred tax on share schemes	-	-	-	43	43
Share based payment transactions	-	-	1,989	-	1,989
At 30 December 2023 (restated)	12,358	280,315	41,456	(636,379)	(302,250)

The notes on pages 13 to 31 form an integral part of these financial statements.

1 General information

The company is a private company limited by share capital, incorporated and domiciled in England.
The address of its registered office is:
105 Wigmore Street
London
W1U 1QY
England
These financial statements were authorised for issue by the board on 21 August 2025.

2 Accounting policies

Summary of significant accounting policies and key accounting estimates
The principal accounting policies applied in the preparation of these financial statements are set out below. These policies have been consistently applied to all the periods presented, unless otherwise stated.

Basis of preparation
These financial statements were prepared in accordance with Financial Reporting Standard 101 Reduced Disclosure Framework. They are prepared on the historical cost basis.

Summary of disclosure exemptions
In these financial statements, the company has taken advantage of the disclosure exemptions available under FRS 101 in relation to share-based payment, business combinations, non-current assets held for sale, financial instruments, fair value measurements, capital management, revenue from contracts with customers, presentation of comparative period reconciliations for share capital, tangible fixed assets, intangible assets and investment property, presentation of a cash-flow statement, the effects of new standards not yet effective, impairment of assets and disclosures in respect of the compensation of key management personnel and of transactions with a management entity that provides key management personnel services to the company.

Going concern
The financial statements have been prepared on a going concern basis. No material uncertainties were identified. Further information about the process and basis of the going concern assessment can be found in the "Going concern" section of the Directors' Report which details how the going concern assessment relates to continued support from the ultimate parent company and how the Directors have assessed the quality and commitment of that support.

Changes in accounting policy
None of the standards, interpretations and amendments effective for the first time from 31 December 2023 have had a material effect on the financial statements.

Revenue recognition

Recognition

The Company earns revenue from the provision of services relating to providing employees and professional services for other Group companies. This revenue is recognised in the accounting period when the services are rendered at an amount that reflects the consideration to which the entity expects to be entitled in exchange for fulfilling its performance obligations to customers.

2 Accounting policies (continued)

The principles in IFRS are applied to revenue recognition criteria using the following 5 step model:

1. Identify the contracts with the customer
2. Identify the performance obligations in the contract
3. Determine the transaction price
4. Allocate the transaction price to the performance obligations in the contract
5. Recognise revenue when or as the entity satisfies its performance obligations

Foreign currency transactions and balances

Transactions in foreign currencies are initially recorded at the functional currency rate prevailing at the date of the transaction. Monetary assets and liabilities denominated in foreign currencies are retranslated into the respective functional currency of the entity at the rates prevailing on the reporting period date. Non-monetary items carried at fair value that are denominated in foreign currencies are retranslated at the rates prevailing on the initial transaction dates.

Non-monetary items measured in terms of historical cost in a foreign currency are not retranslated.

Tax

The tax expense for the period comprises current and deferred tax. Tax is recognised in profit or loss, except that a change attributable to an item of income or expense recognised as other comprehensive income or in equity is also recognised directly in other comprehensive income or equity.
The current income tax charge is calculated on the basis of tax rates and laws that have been enacted or substantively enacted by the reporting date in the countries where the company operates and generates taxable income.
Deferred income tax is recognised on temporary differences arising between the tax bases of assets and liabilities and their carrying amounts in the financial statements and on unused tax losses or tax credits in the company. Deferred income tax is determined using tax rates and laws that have been enacted or substantively enacted by the reporting date.

The carrying amount of deferred tax assets are reviewed at each reporting date and a valuation allowance is set up against deferred tax assets so that the net carrying amount equals the highest amount that is more likely than not to be recovered based on current or future taxable profit.

Trade payables

Trade payables are obligations to pay for goods or services that have been acquired in the ordinary course of business from suppliers. Accounts payable are classified as current liabilities if payment is due within one year or less (or in the normal operating cycle of the business if longer). If not, they are presented as non-current liabilities.

Trade payables are recognised initially at the transaction price and subsequently measured at amortised cost using the effective interest method.

Amounts payable and receivable to and from fellow Group subsidiaries

Howden Joinery Group plc has ultimate control of 100% of both this Company and a number of other wholly-owned subsidiaries (together, called "the Howden Joinery Group"). Debtors and creditors between this Company, Howden Joinery Group plc and any other Howden Joinery Group company do not bear interest and are repayable on demand.

2 Accounting policies (continued)

Share based payments
The company participates in an equity-settled, share-based compensation plan, under which the entity receives services from employees as consideration for equity instruments (options) of the entity's ultimate parent company. The fair value of the employee services received is measured by reference to the estimated fair value at the grant date of equity instruments granted and is recognised as an expense over the vesting period. The estimated fair value of the option granted is calculated using a binomial option pricing model. The total amount expensed is recognised over the vesting period, which is the period over which all of the specified vesting conditions are to be satisfied, with a corresponding credit to equity representing the capital contribution from the ultimate parent company which settles the award.

Share capital
Ordinary shares are classified as equity. Equity instruments are measured at the fair value of the cash or other resources received or receivable, net of the direct costs of issuing the equity instruments. If payment is deferred and the time value of money is material, the initial measurement is on a present value basis.

Financial instruments

Initial recognition
Financial assets and financial liabilities comprise all assets and liabilities reflected in the balance sheet, although excluding Tangible assets, investment properties, intangible assets, deferred tax assets, prepayments, deferred tax liabilities and employee benefits plan.

The company recognises financial assets and financial liabilities in the statement of financial position when, and only when, the company becomes party to the contractual provisions of the financial instrument.

Financial assets and liabilities are initially recognised at fair value and subsequently measured at amortised cost.

Defined benefit pension obligation
Typically defined benefit plans define an amount of pension benefit that an employee will receive on retirement, usually dependent on one or more factors such as age, years of service and compensation.

The asset or liability recognised in the statement of financial position in respect of defined benefit pension plans is the difference between the present value of the defined benefit obligation at the reporting date and the fair value of plan assets. The defined benefit obligation is measured using the projected unit credit method. The present value of the defined benefit obligation is determined by discounting the estimated future payments by reference to market yields at the reporting date on high-quality corporate bonds that are denominated in the currency in which the benefits will be paid, and that have terms to maturity approximating to the terms of the related pension liability.

Actuarial gains and losses are charged or credited to other comprehensive income in the period in which they arise. Past-service costs are recognised immediately in profit or loss.

3 Significant accounting judgements and major sources of estimation uncertainty

The Company makes some judgements when applying its accounting policies which can have a significant effect on the amounts recognised in these financial statements. The Company also makes assumptions concerning the future and other major sources of estimation uncertainty that can result in a material adjustment to the carrying amounts of assets and liabilities within the next financial period. We discuss these below.

3 Significant accounting judgements and major sources of estimation uncertainty (continued)

Actuarial assumptions

The Company operates a defined benefit scheme for its employees. There is significant judgement involved in selecting appropriate measurement bases for the actuarial assumptions used to measure the pension deficit. There is also estimation uncertainty which means that reasonable alternative assumptions could have led to measurement at a materially different amount, or that a reasonably possible change in an assumption during the next period could lead to a material change in the valuation.

The key assumptions within this calculation are discount rate, inflation rates and mortality rates. These are set out in the pensions note, together with sensitivity analysis that shows the effect that these estimates can have on the carrying value of the pension deficit.

4 Turnover

The analysis of the Company's revenue for the period from continuing operations is as follows:

	31 December 2023 to 28 December 2024 £ 000	25 December 2022 to 30 December 2023 £ 000
Management services recharged to other Group companies	20,348	26,403

5 Operating (loss)/profit

Arrived at after charging/(crediting)

	52 weeks to 28 December 2024 £ 000	53 weeks to 30 December 2023 £ 000
Depreciation expense - PPE	-	22
Amortisation expense	-	1
Foreign exchange losses	-	6
Loss on disposal of property, plant and equipment	-	50

6 Interest payable and similar expenses

	52 weeks to 28 December 2024 £ 000	53 weeks to 30 December 2023 £ 000
Other finance costs	300	1,300
Interest expense on leases	-	2
	300	1,302

7 Staff costs

The aggregate payroll costs (including directors' remuneration) were as follows:

	52 weeks to 28 December 2024 £ 000	53 weeks to 30 December 2023 £ 000
Wages and salaries	7,330	9,798
Social security costs	1,731	1,036
Pension costs, defined contribution scheme	242	243
Pension costs, defined benefit scheme	1,890	2,300
Share-based payment expenses	2,741	1,988
	13,934	15,365

The defined benefit scheme charge in both periods relates to the cost of providing defined benefit pensions to the whole Howden Joinery Group, for the reasons explained at Note 15.

The average number of persons employed by the company (including directors) during the period, analysed by category was as follows:

	31 December 2023 to 28 December 2024 No.	25 December 2022 to 30 December 2023 No.
Administration and support	38	38

8 Directors' remuneration

In the prior year, the Company disclosed the amount of directors' remuneration that it paid. However, following a review in the current year, it was identified that the majority of the qualifying services by those directors were provided to other companies in the Group and should therefore have been disclosed in the financial statements of those entities. The amount of remuneration relating to qualifying services provided to this entity is trivial, and therefore none of the remuneration paid has been allocated to this Company. The prior year comparatives for directors' remuneration have therefore been restated accordingly.

9 Auditor's remuneration

In the prior period, the Company disclosed the amount of auditor's remuneration that it paid, which included amounts paid on behalf of other Group companies. However, following a review in the current year, the auditor's remuneration disclosure has been restated to reflect the audit fee for this Company, based on an allocation of the overall audit fee for the Group. The audit fee for both the current and prior periods was £25,000.

10 Income tax

Tax charged/(credited) in the income statement

	28 December 2024 £ 000	30 December 2023 £ 000
Current taxation		
UK corporation tax	(625)	(2,992)
UK corporation tax adjustment to prior periods	2,942	510
	2,317	(2,482)
Deferred taxation		
Arising from origination and reversal of temporary differences	1,555	7,765
Arising from previously unrecognised tax loss, tax credit or temporary difference of prior periods	(3,516)	183
Total deferred taxation	(1,961)	7,948
Tax expense in the income statement	356	5,466

The tax on profit before tax for the period is higher than the standard rate of corporation tax in the UK (2023 - higher than the standard rate of corporation tax in the UK) of 25% (2023 - 23.5%).

The differences are reconciled below:

	28 December 2024 £ 000	30 December 2023 £ 000
(Loss)/profit before tax	(1,350)	1,345
Corporation tax at standard rate	(338)	316
Increase (decrease) in tax from adjustment for prior periods	(574)	693
Increase (decrease) from effect of expenses not deductible in determining taxable profit (tax loss)	407	145
Increase (decrease) from effect of exercise employee share options	861	309
Deferred tax expense (credit) relating to changes in tax rates or laws	-	473
Tax increase (decrease) from other tax effects	-	3,530
Total tax charge	356	5,466

10 Income tax (continued)

Deferred tax

Deferred tax movement during the period:

	At 31 December 2023 £ 000	Recognised in income £ 000	Recognised in other comprehensive income £ 000	Recognised in equity £ 000	At 28 December 2024 £ 000
Pension benefit obligations	3,150	550	(3,175)	-	525
Pensions spreading	-	2,344	-	-	2,344
Accelerated tax depreciation	-	-	-	-	-
Share-based payments	944	(933)	-	78	89
Net tax assets/(liabilities)	4,094	1,961	(3,175)	78	2,958

Deferred tax movement during the prior period:

	At 25 December 2022 £ 000	Recognised in income £ 000	Recognised in other comprehensive income £ 000	Recognised in equity £ 000	At 30 December 2023 £ 000
Pension benefit obligations	10,375	(3,900)	(3,325)	-	3,150
Pensions spreading	-	-	-	-	-
Accelerated tax depreciation	3,938	(3,938)	-	-	-
Share-based payments	1,011	(110)	-	43	944
Net tax assets/(liabilities)	15,324	(7,948)	(3,325)	43	4,094

11 Trade and other receivables

	28 December 2024 £ 000	30 December 2023 £ 000 (restated)
Trade debtors from related parties	2,824	4,591
Prepayments	28	18
Other debtors	-	42
	2,852	4,651

Trade debtors from related parties in the prior period have been restated as detailed in note 17. Other debtors were presented as part of trade and other creditors in the prior period financial statements but are re-presented in these financial statements as part of trade and other receivables.

12 Share-based payments

The ultimate parent company, Howden Joinery Group Plc ("the Group") operates various share-based payment schemes for employees in its subsidiary companies, all of which relate to shares in the Group and all of which are equity-settled. There are no share-based payment schemes relating to the shares in the Company. The Company recognised a charge of £2.7m (2023: charge of £2.0m) in respect of share-based payments during the period.

The various Group schemes are described below.

12 Share-based payments (continued)

Scheme description

1) Details of each scheme

SHARE INCENTIVE PLAN ('SIP')
This is an 'all-employee' share plan. Shares shown below as "SIP (i)" represent free shares. Shares shown as "SIP (ii)" are matching shares which are awarded to employees who choose to take part in the Group's buy as you earn arrangement, which allows employees to purchase shares from pre-tax salary. Both of these share awards have no performance conditions other than continued employment and have a three-year vesting period.

HOWDEN JOINERY GROUP LONG-TERM INCENTIVE PLAN ('LTIP')
This is a discretionary employee share plan under which the Group may grant different types of award including options, conditional awards, and restricted share awards. With the exception of (iv) below, neither dividends nor dividend equivalents are payable during the vesting period. The different types of awards are as follows:

(i) Conditional Share Awards, which have a vesting period of three years, and no performance conditions other than continued employment.

(ii) Market value options, which have a vesting period of three years, and performance conditions based on growth in Group profits over the three financial years starting with the year during which they are awarded. The vesting conditions provide for a minimum level of performance, below which no shares will be awarded, as well as a maximum level of performance which must be achieved in order for the awards to vest fully.

(iii) Performance Share Plan awards, which have a vesting period of three years, and performance conditions based on the three financial years starting with the year during which they are awarded.
The vesting conditions for some of the awards depend solely on growth in Group profit, in the same way as described for the market value options above.
For some other awards, the vesting conditions depend partly on growth in profit and partly on growth in total shareholder returns relative to comparator companies ("TSR").
For some other awards, the vesting conditions depend on a mixture of growth in profit, TSR, return on capital employed, and environmental measures based on carbon emissions reduction targets.
Vesting under the various measures above is determined on a straight-line basis between threshold and maximum payout. Performance below threshold will result in no shares vesting.

(iv) Restricted Share Awards, where the participant receives beneficial entitlement to shares upon grant of the award. The legal interest, however, is not transferred to the participant until the forfeiture provisions and restrictions applicable to the awards cease to apply. The shares are not subject to any performance conditions other than continued employment. Dividends are payable during the vesting period.

13 Trade and other payables

	28 December 2024 £ 000	30 December 2023 (restated) £ 000
Accrued expenses	-	26
Amounts due to fellow Group companies	295,092	298,364
Social security and other taxes	-	13
	295,092	298,403

In the prior period financial statements an other debtor of £42,000 was presented as part of trade and other payables but is re-presented in these financial statements as part of trade and other receivables. Amounts due to fellow Group companies in the prior period have been restated as detailed in note 17.

14 Share capital and other reserves

Allotted, called up and fully paid share capital

	28 December 2024		30 December 2023	
	No. 000	£ 000	No. 000	£ 000
Ordinary shares of £1 each	12,358	12,358	12,358	12,358

Description of the nature and purpose of the other reserves

The capital contribution reserve was created in 2009 when amounts due from this Company to other Group companies were waived. As the amounts represented funding balances, the gain was treated as a capital contribution. The share-based payment reserve represents the cumulative share-based payment charges. The retained earnings reserve represents the Company's cumulative results.

15 Pension and other schemes

Defined contribution pension scheme

The Company operates a defined contribution pension scheme. The pension cost charge for the period represents contributions payable by the Company to the scheme and amounted to £242,018 (2023 - £242,985).

15 Pension and other schemes (continued)

Defined benefit pension schemes
Howden Joinery Group Defined Benefit Plan

Plans that share risks between entities under common control
Characteristics and risks of the plan:
The Howden Joinery Group operates a funded pension plan which provides benefits based on the career average pensionable pay of participating employees.

The plan shares risks between wholly-owned Group subsidiaries which are each under the control of the ultimate parent company. These risks are shared between this Company and another wholly-owned Group subsidiary.

There is no contractual agreement or stated policy for charging the net defined benefit cost between the participating subsidiaries and this Company is the sponsoring employer, so the entire net defined benefit pension cost, and the entire pension deficit, appears in this Company's accounts.
The Group operates a funded pension plan which provides benefits based on the career average pensionable pay of participating employees. This plan was closed to new entrants from April 2013, and closed to future accrual on 31 March 2021.

The assets of the plan are held separately from those of the Group, being held in a trustee-administered pension plan and invested with independent fund managers. The trustee directors of the plan comprise three member-elected trustees, two independent trustees, and three Group-appointed trustees. All trustees are required to act in the best interests of the plan beneficiaries.

The plan exposes the Group to actuarial risks, such as longevity risk, interest rate risk, inflation risk and market (investment) risk.

Longevity risk is the risk that members live for longer than is currently expected. That results in pensions being paid for longer than expected, thus costing schemes more money.

Examples of interest rate risk are that a decrease in corporate bond yields increases the present value of the defined benefit obligations, or that a decrease in gilt yields results in a worsening in the Scheme's funding position.

An example of inflation risk is that an increase in inflation results in higher benefit increases for members which in turn increases the Scheme's liabilities.

Investment risk comes from three main sources: risk that the fund will fall in value, risk that the pension fund's returns will not keep pace with inflation (i.e. that real returns are negative), and risk that the pension fund does not perform well enough to keep pace with the growth in the cost of providing pension benefits.

A description of how the plan's asset allocation strategy seeks to address some of these risks is given below in the "Asset allocation" section.

15 Pension and other schemes (continued)

The Plan will initially have asset allocations as set out below but over time will move towards the target weight (particularly as the Secure Income assets return capital over the coming years).
Return-seeking assets consist of Absolute return assets, Multi-asset credit and Secure income assets. Absolute return assets have a target rating of 7% and a range of 2-12%. Multi-asset credit assets have a target rating of 13% and a range of 8-18%. Secure income assets have a target rating of 35% and a range of 25-45%. Overall Return-seeking assets have a target rating of 55% and a range of 45-55%.

The Risk-Reducing Assets will be initially structured to target interest rate and inflation hedge ratios of c90% (as a proportion of funded liabilities), measured on the Plan's long term liability basis.
This section of the portfolio also provides exposure to credit markets via credit default swaps. Risk-Reducing Assets have a target rating of 45% and a range of 35-55%.

The level of liability hedging will increase over time as the Secure Income assets return capital and the overall liquidity of the portfolio is able to support higher hedging levels.

The Trustee will monitor the actual asset allocation versus the target weightings and the ranges at regular intervals. The Trustee recognises that from time to time the actual asset allocation may move outside the ranges due to market movements and will consider whether to rebalance back to the target weightings, taking into account current market conditions and medium-term market views."

Funding and estimated contributions
The Group's contributions in the current and prior periods are shown in the tables below. The Group bears the plan's administration costs. The Group also has an agreement with the pension plan trustees to make additional deficit contributions to the plan of £12m per year until 31 May 2026, if the plan is underfunded on the Technical Provisions ("TP") basis. Under the agreement, the scheme's funding position is monitored on a monthly basis and deficit contributions are suspended if the scheme's funding position is 102% or greater as at the last working day of two consecutive months on a TP basis, and is resumed if the funding position subsequently falls back to below 98% on the last working day of two consecutive months.

No additional benefit contributions were paid in 2024, and the Group's estimated total cash contributions to the defined benefit plan in the 52 weeks ending 27 December 2025 are also nil. As noted in the paragraph above, additional deficit contributions may cease and recommence during the year, depending on the scheme's funding position.

Contributions payable to the pension scheme at the end of the period are £Nil (2023 - £Nil).

Accounting and actuarial valuation
Contributions are charged to the consolidated income statement so as to spread the cost of pensions over the employees' working lives with the Group. The present value of the defined benefit obligation is determined by a qualified actuary using the projected unit method. The most recent completed actuarial valuation was carried out at 5 April 2023 by the plan actuary. The actuary advising the Group has subsequently rolled forward the results of the 5 April 2023 valuation to 28 December 2024. This roll-forward exercise involves updating all the assumptions which are market-based (i.e. inflation, discount rate, rate of increase in pensions and rate of CARE revaluation) to values as at 28 December 2024. We are using CMI 2023 mortality tables, being the most recent tables available.

15 Pension and other schemes (continued)

As is mandatory under International Financial Reporting Standards, the Group values its pension deficit in these accounts on an IAS19 basis. As shown below, the IAS19 deficit at the current period end is £2.1m. On a funding basis (also known as a "Technical Provisions basis", being the basis on which the triennial actuarial valuations are carried out), the funding surplus at the current period end is estimated at £16.4m, this estimate being based on an approximate roll-forward of the 2023 triennial funding valuation, updated for market conditions. The IAS 19 valuation requires 'best estimate' assumptions to be used whereas the funding valuation uses 'prudent' assumptions.

In June 2023, the High Court issued a decision in the case of Virgin Media Limited v NTL Pension Trustees II Limited and others, concerning the validity of certain historical pension changes due to the absence of the actuarial confirmation required by law. In July 2024, the Court of Appeal dismissed the appeal brought by Virgin Media Ltd against aspects of the June 2023 decision. The conclusions reached by the court in this case may have implications for other UK defined benefit plans.

The plan's legal advisors are currently carrying out a review to identify any relevant pension changes and, for any such changes identified, to verify whether there is actuarial confirmation. This review is in progress. The defined benefit obligation presented below reflects the plan benefits currently being administered, i.e. it treats all past rule changes as being valid.

15 Pension and other schemes (continued)

Reconciliation of scheme assets and liabilities to assets and liabilities recognised
The amounts recognised in the statement of financial position are as follows:

	28 December 2024 £ m	30 December 2023 £ m
Fair value of scheme assets	806	901
Present value of scheme liabilities	(808)	(914)
Defined benefit pension scheme deficit	(2)	(13)

Scheme assets
Changes in the fair value of scheme assets are as follows:

	28 December 2024 £ m	30 December 2023 £ m
Fair value at start of period	901	889
Interest income	40	42
Return on plan assets, excluding amounts included in interest income/(expense)	(91)	(8)
Employer contributions	-	19
Benefits paid	(44)	(41)
Fair value at end of period	806	901

Analysis of assets
The major categories of scheme assets are as follows:

	28 December 2024 £m	30 December 2023 £m
Cash and cash equivalents	9	8
Equity instruments	-	50
Debt instruments	286	316
Investment funds	511	527
	806	901

Equity instruments
Equity instruments can be further categorised as follows:

	28 December 2024 £ m	30 December 2023 £ m
Unquoted		
Passive equities	-	50

15 Pension and other schemes (continued)

Debt instruments
Debt instruments can be further categorised as follows:

	28 December 2024 £m	30 December 2023 £m
Quoted		
Government bonds	286	316

Investment funds
Investment funds can be further categorised as follows:

	28 December 2024 £m	30 December 2023 £m
Quoted		
Asset-backed securities	1	1
Other Secure Income	114	60
	115	61
Unquoted		
Commercial property fund	210	233
Insurance-linked securities	79	71
Other Secure Income	107	162
	396	466
	511	527

Valuation of assets
All of the quoted assets have a daily price, and therefore are valued using market prices within one day of our Saturday year end date.

Unquoted investments are stated at values provided by the fund manager in accordance with relevant guidance. Some of the unquoted funds are valued on a monthly basis and others are valued on a quarterly basis. Based on asset values at the current year end, 15% of the unquoted assets are valued based on a valuation from the fund manager within two trading days of our year end date, and a further 23% are valued at 30 November 2024, all of them being adjusted for cash movements and rolled forwards using a suitably-correlated index if one is available. The fund managers' 31 December 2024 valuations for the remaining 62% of unquoted assets, which have a carrying value of £244.6m at the current period end, are not available until after these consolidated financial statements are approved and so the only available valuations for these funds at the current year is the 30 September 2024 valuations from the fund managers, which are adjusted for cash movements and rolled forward to our year end date using a suitably-correlated index where one is available.

15 Pension and other schemes (continued)

Actual return on scheme's assets

	28 December 2024 £m	30 December 2023 £m
Actual return on scheme assets	(51)	34

The pension scheme has not invested in any of the Company's own financial instruments or in properties or other assets used by the Company.

Scheme liabilities
Changes in the present value of scheme liabilities are as follows:

	28 December 2024 £ m	30 December 2023 £ m
Present value at start of period	914	931
Actuarial gains and losses arising from changes in demographic assumptions	(2)	(26)
Actuarial gains and losses arising from changes in financial assumptions	(102)	14
Actuarial gains and losses arising from experience adjustments	-	(9)
Interest cost	40	43
Benefits paid	(44)	(41)
Administration Cost	2	2
Present value at end of period	808	914

Principal actuarial assumptions
The significant actuarial assumptions used to determine the present value of the defined benefit obligation at the statement of financial position date are as follows:

	28 December 2024 %	30 December 2023 %
	-	-
Discount rate	5.50	4.55
Inflation - RPI	3.15	3.05

Post retirement mortality assumptions

	28 December 2024 Years	30 December 2023 Years
Current UK pensioners at retirement age - male	21	21
Current UK pensioners at retirement age - female	23	23
Future UK pensioners at retirement age - male	22	22
Future UK pensioners at retirement age - female	25	25

15 Pension and other schemes (continued)

Amounts recognised in the income statement

	28 December 2024 £m	30 December 2023 £m
Amounts recognised in operating profit		
Administrative expenses paid	(2)	(2)
Amounts recognised in finance income or costs		
Net interest	-	(1)
Total recognised in the income statement	(2)	(3)

Amounts taken to the Statement of Comprehensive Income

	28 December 2024 £m	30 December 2023 £m
Actuarial gains and losses arising from changes in financial and demographic assumptions	104	22
Return on plan assets, excluding amounts included in interest income/(expense)	(91)	(8)
Amounts recognised in the Statement of Comprehensive Income	13	14

Sensitivity analysis

A sensitivity analysis for the principal assumptions used to measure scheme liabilities is set out below:

	28 December 2024			30 December 2023		
Adjustment to discount rate	**+ 0.5% £m**	**0.0% £m**	**- 0.5% £m**	**+ 0.5% £m**	**0.0% £m**	**- 0.5% £m**
Present value of total obligation	(756)	(808)	(860)	(848)	(914)	(979)

	28 December 2024			30 December 2023		
Adjustment to rate of inflation	**+ 0.5% £m**	**0.0% £m**	**- 0.5% £m**	**+ 0.5% £m**	**0.0% £m**	**- 0.5% £m**
Present value of total obligation	(787)	(808)	(829)	(882)	(914)	(945)

15 Pension and other schemes (continued)

	28 December 2024			30 December 2023		
Adjustment to mortality age rating assumption	**+ 1 Year £m**	**None £m**	**- 1 Year £m**	**+ 1 Year £m**	**None £m**	**- 1 Year £m**
Present value of total obligation	(780)	(808)	(836)	(881)	(914)	(946)

The weighted average duration of the defined benefit obligation at both the current and prior period ends was 21 years.

16 Parent and ultimate parent undertaking

The company's immediate parent is Howden Joinery Holdings Limited. The ultimate parent is Howden Joinery Group Plc.

The most senior parent entity producing publicly available financial statements is Howden Joinery Group Plc. These financial statements are available upon request from
http://www.howdenjoinerygroupplc.com/investors/financial-reporting/reports/index.asp

The ultimate controlling party is Howden Joinery Group Plc.

17 Prior year restatement

During the current period, the Directors have reassessed the Company's accounting for investments in the shares of the ultimate parent company. These shares are held in employee share ownership trusts, and had previosuly been shown in the financial statements of this Company. On reassessment of the accounting treatment the Directors have concluded that, as the ultimate parent company is the sponsoring entity for the employee share trusts, the shares held by the trusts should have been shown in the accounts of the ultimate parent company and not of this Company.

This has led to a prior year adjustment to the opening balances of this Company's financial statements, as detailed below. The adjustment removes the investments. It reduces the intercompany payables balance in respect of the shares which had been previously been treated as being transferred from the ultimate parent company and where the corresponding entry had been to intercompany payables to the parent, and it reduces reserves in respect of the shares which had been settled for in cash and where the correspinding entry had been to reserves.

There is also an adjustment to the prior year figures, which reverses both additions and disposals to investments in the prior year, as well as reversing the related intercompany balances. There is no impact on Other Comprehensive Income in the prior period.

Details of the adjustments made are given below.

17 Prior year restatement (continued)

Adjustments arising from restatements

	Investment in shares of ultimate parent company £ 000	Trade debtors from related parties £ 000	Amounts due to fellow group companies £ 000	Net effect of restatements on retained earnings £ 000
Adjustments to opening balances as at 25 Dec 2022				
Disposal of investments	(76,520)	-	60,366	(16,154)
Effect of restatements on opening balances as at 25 Dec 2023	(76,520)	-	60,366	(16,154)
Adjustments in year to 30 Dec 2023				
Disposal of investments	(1,093)	(454)	1,547	-
Incremental effect of restatements on year to 30 Dec 2023 figures	(1,093)	(454)	1,547	-